

false predictions.

Fat-tailed Where the probability of an extreme move is greater than the probability under a normal distribution; see also *Leptokurtosis*.

Formation period See *Look-back period*.

Hedge funds Pooled investment vehicles administered by professional managers and not offered to the general public, which allows them to charge higher fees and operate with greater flexibility than publically available funds.

Herding Irrational group behavior to do or believe primarily because others do or believe the same; leads to overreaction.

Heuristic Simple, efficient rules or mental shortcuts to explain how people make decisions under uncertainty; examples include trial and error, rule of thumb, and educated guess.

Hindsight bias The inclination after an event has occurred to see it as having been predictable, despite having little or no objective basis for predicting it prior to its occurrence; also known as the knew-it-all-along effect.

Idiosyncratic volatility Diversifiable risk due to the unique characteristics of a specific security; has little or no correlation with market risk.

Index fund A passively managed investment fund that aims to replicate or track the movements of a market index; noted for relatively low operating expenses and low portfolio turnover.

Information ratio Difference between the return of an asset or portfolio and a selected benchmark divided by the tracking error.

In sample Data that was used to build a model or strategy.